

BAIDU (BIDU/9888.HK) &amp; IQIYI (IQ)

## 2Q26 review and NDR takeaways: Cloud to accelerate in 2H, higher AI spending to weigh on profit

We refresh our estimates post Baidu 2Q26 earnings. Post result, we believe the market focus will center around its quarterly pace of AI cloud infra growth, the elevating capex and ROIC, its goal to revamp the Ernie foundation model, as well as its capital allocation strategy over AI investments/shareholder return. Into 2H26, investor focus will be around Baidu's proposed conversion to a dual primary listing/Southbound inclusion and progress on the announced Kunlunxin spin-off. We expect its AI cloud infra revenue to accelerate in 2H26 from 2Q's level, driven by strong demand. However, high capex and AI-related investment will likely weigh on near-term profitability, together with still declining advertising business. We discuss the key debates within this report.

**What's changed for Baidu:** We finetune 2026E–28E revenue estimates by -1%~0% on a combination of solid cloud growth, offset by weaker-than-expected advertising recovery, and cut our 2026E–28E net profit estimates by -13%~-19% to reflect higher AI investments over the next 2yrs and foreign exchange losses in 2026E. With solid cloud growth offset by the advertising slowdown, we estimate Baidu AI powered business will account for close to 60% of core revenue into year end, with an improving cloud margin profile. We are **Not Rated** on BIDU/9888.HK.

### Key focus/debates:

#### 1. (-) Step-up of AI spending/capex and revamp of Ernie LLMs progress

Baidu spent elevated capex in 2Q26 (almost double on QoQ basis) and will likely maintain a relatively high level of spending for the rest of the year, in a combination of direct procurement and rents/financing lease. The incremental driver is to revamp its own Ernie LLMs' training as the company expands its foundation model team and aims to allocate more resources to Ernie, aiming towards tier 1 LLMs in China. We believe the higher spend will likely weigh on near-term cash flow/profit margin, while market debates over AI spending ROIC and the monetization potential will persist at the moment. However, with its full-stack capability, Baidu cloud should have similar/better than peers margin profile in the long run, in our view.

#### 2. (+) AI cloud infra remains in solid growth and likely to accelerate in 2H26 vs. 2Q level

2Q26's cloud infra was at 50% yoy, slower than 1Q but more driven by the

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revenue/contract recognition timing. The strong client demand for GPU compute and MAAS offerings remains intact. As the company steps up its compute power purchase and infrastructure shipment starts to ramp up in 2H, we believe AI cloud infra should remain in strong growth in 2H (**60%+ yoy**), faster than 2Q's level, driven by GPU cloud and a more normalized pace of traditional CPU/project based contract delivery. We also expect a more favorable margin profile as GPU cloud contribution further rises, together with potential cloud pricing adjustments.

### 3. (-) Advertising remains under pressure with no signs of a near-term inflection

In contrast to the AI Cloud segment, we expect Baidu's advertising business (**GSe: -21% yoy** in 2H26E) to continue facing structural headwinds, on a combination of 1) traditional search advertising, which is undergoing gradual erosion from changing user behavior among the proliferation of AI tools, 2) no breakthroughs from Baidu's AI search transition initiatives, and 3) challenging macro.

That said, we note that advertising now accounts for a much smaller share of Baidu Core revenue mix (40% of 4Q26E vs. 60%+ in 2025), and its drag on the Baidu Core revenue trajectory should gradually decrease over time.

### 4. (-) Margin pressure: Core OPM will face sequential pressure from unfavorable sales mix and higher AI spending in 2H26

We expect Baidu Core OP margin will be sequentially lower at 10%-11% level for 2H26, vs. 1H26's 15%, or slightly higher on a yoy basis given 2H25's low base. As the company is stepping up investments in AI model training and trying to procure more computes, we expect its impact on earnings to gradually build through 2H26E from higher D&A, R&D spend, and compute rentals, and forecast Baidu Core OP to decline **-10% yoy** in 2026E. Looking forward, we see the AI cloud infra profit margin should improve over time, as higher-margin GPU cloud outgrows the group, and should contribute more to overall margin mix into 2027.

## Baidu NDR takeaways

### AI Cloud Infra

Management expects **AI Cloud Infra yoy growth to accelerate in 3Q26** vs. 2Q26, supported by robust customer demand and multiple growth drivers. Specifically:

- **GPU cloud** revenue continued to see very strong momentum, and the company also continues to expand its customer base in cloud businesses. Management believes Baidu's positioning as a neutral cloud provider, without a competing eCommerce business, has become an advantage in customer acquisition.
- **MaaS** revenue scale remains relatively small vs. GPU cloud and traditional CPU cloud, but growing rapidly at **above triple-digit% yoy**. Management highlighted that Baidu's technical capabilities and high cache-hit rates can materially improve MaaS margin.
- For **traditional CPU cloud**, management noted that customers are increasingly willing to accept 5~10% price hike upon contract renewal amid an industry-wide

price increase trend.

- Regarding **long-term targets**, management aims to deliver: 1) cloud revenue yoy growth to be **faster than peers** on a quarterly basis; 2) cloud margin to be higher than peers.

### AI Applications

Management expects both **qoq and yoy growth in AI Applications over the next two quarters**, supported by overseas expansion and increasing domestic token usage from products such as GenFlow.

- The company is increasingly focused on expanding monetization opportunities in overseas markets, including Baidu Wenku and Baidu Drive.
- For the domestic market, products such as GenFlow have established decent user bases and management believes users are increasingly willing to pay for token consumption if product quality is sufficiently differentiated.

### AI Marketing Services

Management acknowledged that AI Marketing Services remained affected by soft macro, advertisers' willingness to pay and the company's relatively prudent monetization approach amid evolving competition from domestic chatbots in 2Q26.

Looking ahead, management expects **qoq growth trajectory to continue** and gradually **resume positive yoy growth over the next two quarters**, yet still depending on the macro environment and competitive landscape.

On the legacy advertising business, the company has been making an effort to stabilize it while continuing to grow AI-powered monetization products.

### Capex and foundational models

Management reiterated that 2Q26 high Capex was primarily driven by strong customer demand and pre-orders for cloud infrastructure, and **3Q26 Capex will be lower than 2Q26**. Specifically:

- c.80% of Capex is allocated to satisfy external client demand, primarily related to AI Cloud infrastructure, and the remaining **20% is for internal usage**, mostly for foundational model development with a smaller portion allocated to internal R&D.
- Regarding foundational models, management stressed a **pragmatic investment** philosophy, primarily on:
  - Expanding pre-training datasets to catch up on coding scenario, as historical emphasis was more focused on text scenario.
  - Model size remains reasonable rather than aggressively pursuing extremely large models. Management expects its next generation models to improve to tier-1 level among domestic models within one or two quarters.

### Shareholder return and asset value unlocking

- Management reiterated that its first-ever **dividend payment is expected by**

**end-2026**, and expects dividend to become a meaningful component of total shareholder return.

- **Buyback** was affected by accelerated infrastructure investment in 2Q26 to support customer demand and market volatility, yet management noted it will revisit buyback execution pace properly.

## Baidu key highlights

### Exhibit 1: Baidu: revenue by new segmentation

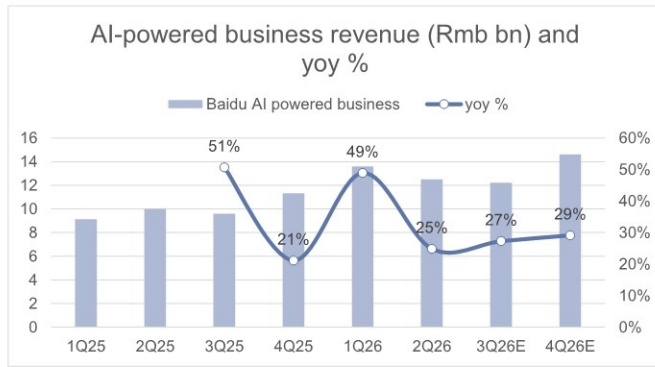
| Revenue by segment (Rmb bn)      | 2024         | 2025         | 2026E        | 2027E        | 2028E        | 3Q25        | 4Q25        | 1Q26        | 2Q26        | 3Q26E       | 4Q26E       |
|----------------------------------|--------------|--------------|--------------|--------------|--------------|-------------|-------------|-------------|-------------|-------------|-------------|
| <b>Baidu AI powered business</b> | <b>27.0</b>  | <b>40.0</b>  | <b>52.9</b>  | <b>68.5</b>  | <b>87.1</b>  | <b>9.6</b>  | <b>11.3</b> | <b>13.6</b> | <b>12.5</b> | <b>12.2</b> | <b>14.6</b> |
| AI cloud infra                   | 14.8         | 19.8         | 32.0         | 45.8         | 61.9         | 4.2         | 5.8         | 8.8         | 7.3         | 6.9         | 9.0         |
| AI applications                  | 9.8          | 10.2         | 10.3         | 10.9         | 11.4         | 2.6         | 2.7         | 2.5         | 2.5         | 2.6         | 2.8         |
| AI native marketing              | 2.4          | 9.8          | 10.3         | 10.9         | 11.4         | 2.8         | 2.7         | 2.3         | 2.6         | 2.7         | 2.8         |
| Robotaxi                         |              | 0.2          | 0.2          | 1.0          | 2.4          | 0.1         | 0.1         | 0.1         | 0.0         | 0.1         | 0.1         |
| As % of total                    | 26%          | 39%          | 52%          | 64%          | 72%          | 39%         | 43%         | 52%         | 50%         | 51%         | 57%         |
| <b>Legacy &amp; Others</b>       | <b>77.7</b>  | <b>62.5</b>  | <b>48.0</b>  | <b>39.2</b>  | <b>34.2</b>  | <b>15.1</b> | <b>14.8</b> | <b>12.4</b> | <b>12.7</b> | <b>11.7</b> | <b>11.2</b> |
| As % of total                    | 74%          | 61%          | 48%          | 36%          | 28%          | 61%         | 57%         | 48%         | 50%         | 49%         | 43%         |
| <b>Legacy business</b>           | <b>70.4</b>  | <b>52.7</b>  | <b>39.1</b>  | <b>30.9</b>  | <b>26.6</b>  | <b>12.6</b> | <b>12.3</b> | <b>10.2</b> | <b>10.4</b> | <b>9.6</b>  | <b>9.0</b>  |
| As % of total                    | 67%          | 51%          | 39%          | 29%          | 22%          | 51%         | 47%         | 39%         | 41%         | 40%         | 35%         |
| <b>Others</b>                    | <b>7.3</b>   | <b>9.7</b>   | <b>8.9</b>   | <b>8.2</b>   | <b>7.7</b>   | <b>2.5</b>  | <b>2.5</b>  | <b>2.2</b>  | <b>2.3</b>  | <b>2.1</b>  | <b>2.2</b>  |
| As % of total                    | 7%           | 10%          | 9%           | 8%           | 6%           | 10%         | 9%          | 8%          | 9%          | 9%          | 9%          |
| <b>Baidu General business</b>    | <b>104.7</b> | <b>102.5</b> | <b>100.8</b> | <b>107.7</b> | <b>121.3</b> | <b>24.7</b> | <b>26.1</b> | <b>26.0</b> | <b>25.2</b> | <b>23.9</b> | <b>25.8</b> |
| <b>YoY growth</b>                |              |              |              |              |              |             |             |             |             |             |             |
| <b>Baidu AI powered business</b> |              | <b>48%</b>   | <b>32%</b>   | <b>30%</b>   | <b>27%</b>   | <b>51%</b>  | <b>21%</b>  | <b>49%</b>  | <b>25%</b>  | <b>27%</b>  | <b>29%</b>  |
| AI cloud infra                   |              | 34%          | 62%          | 43%          | 35%          | 33%         | 7%          | 78%         | 50%         | 63%         | 56%         |
| AI applications                  |              | 4%           | 1%           | 5%           | 5%           | 6%          | 1%          | 3%          | 0%          | 1%          | 2%          |
| AI native marketing              |              | 300%         | 5%           | 5%           | 5%           |             |             | 31%         | 0%          | -3%         | 2%          |
| Legacy                           |              | -25%         | -26%         | -21%         | -14%         | -30%        | -26%        | -28%        | -24%        | -24%        | -27%        |
| Others                           |              | 34%          | -9%          | -7%          | -7%          |             |             | 5%          | -15%        | -14%        | -10%        |
| <b>Baidu General business</b>    |              | <b>-2%</b>   | <b>-2%</b>   | <b>7%</b>    | <b>13%</b>   | <b>-7%</b>  | <b>-6%</b>  | <b>2%</b>   | <b>-4%</b>  | <b>-3%</b>  | <b>-1%</b>  |
| <b>QoQ growth</b>                |              |              |              |              |              |             |             |             |             |             |             |
| <b>Baidu AI powered business</b> |              |              |              |              |              |             | 18%         | 20%         | -8%         | -2%         | 20%         |
| AI cloud infra                   |              |              |              |              |              |             | 38%         | 51%         | -17%        | -6%         | 32%         |
| AI applications                  |              |              |              |              |              |             | 4%          | -9%         | 2%          | 5%          | 5%          |
| AI native marketing              |              |              |              |              |              |             | -2%         | -15%        | 13%         | 3%          | 3%          |
| <b>Baidu General business</b>    |              |              |              |              |              |             | 6%          | 0%          | -3%         | -5%         | 8%          |

Source: Company data, Goldman Sachs Global Investment Research

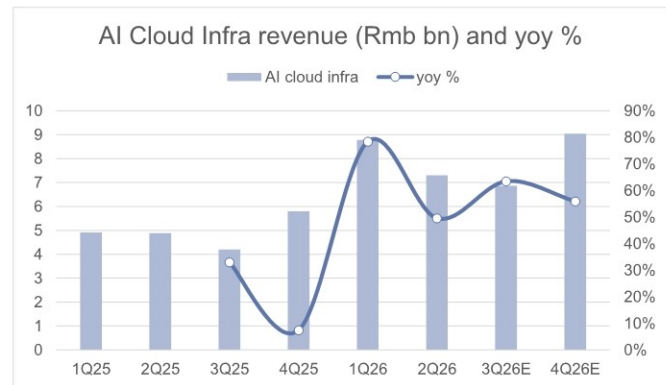
### Exhibit 2: Baidu: revenue by old segmentation

| Revenue by segment (Rmb bn, old) | 2024         | 2025         | 2026E       | 2027E       | 2028E       | 3Q25        | 4Q25        | 1Q26        | 2Q26        | 3Q26E       | 4Q26E       |
|----------------------------------|--------------|--------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|
| <b>Advertising</b>               | <b>72.8</b>  | <b>62.5</b>  | <b>49.5</b> | <b>41.8</b> | <b>38.0</b> | <b>15.3</b> | <b>15.0</b> | <b>12.6</b> | <b>13.1</b> | <b>12.2</b> | <b>11.7</b> |
| % yoy                            | -3%          | -14%         | -21%        | -16%        | -9%         | -18%        | -16%        | -21%        | -19%        | -20%        | -22%        |
| <b>Cloud</b>                     | <b>24.6</b>  | <b>30.0</b>  | <b>42.3</b> | <b>56.7</b> | <b>73.3</b> | <b>6.8</b>  | <b>8.5</b>  | <b>11.2</b> | <b>9.8</b>  | <b>9.5</b>  | <b>11.8</b> |
| % yoy                            |              | 22%          | 41%         | 34%         | 29%         | 21%         | 5%          | 54%         | 33%         | 40%         | 39%         |
| <b>Others</b>                    | <b>7.3</b>   | <b>9.9</b>   | <b>9.0</b>  | <b>9.2</b>  | <b>10.0</b> | <b>2.5</b>  | <b>2.6</b>  | <b>2.3</b>  | <b>2.3</b>  | <b>2.2</b>  | <b>2.3</b>  |
| % yoy                            |              | 37%          | -9%         | 2%          | 9%          | 18%         | 49%         | 4%          | -13%        | -14%        | -12%        |
| <b>Total</b>                     | <b>104.7</b> | <b>102.5</b> | <b>101</b>  | <b>108</b>  | <b>121</b>  | <b>24.7</b> | <b>26.1</b> | <b>26.0</b> | <b>25.2</b> | <b>23.9</b> | <b>25.8</b> |
| % yoy                            |              | -2%          | -2%         | 7%          | 13%         | -7%         | -6%         | 2%          | -4%         | -3%         | -1%         |

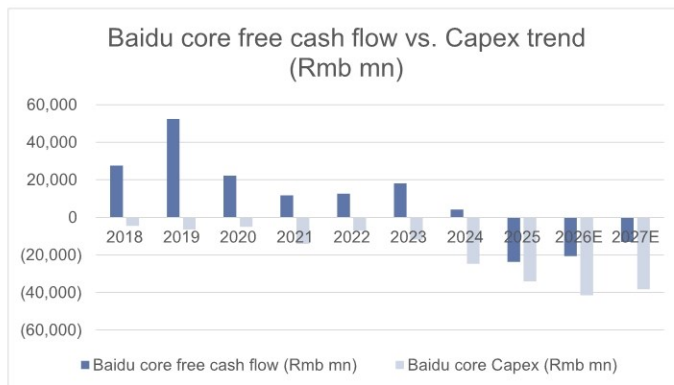
Source: Company data, Goldman Sachs Global Investment Research

**Exhibit 3: Baidu: Core AI-powered business quarterly revenue and yoy %**

Source: Company data, Goldman Sachs Global Investment Research

**Exhibit 4: Baidu: AI Cloud Infra quarterly revenue and yoy %**

Source: Company data, Goldman Sachs Global Investment Research

**Exhibit 5: Baidu Core: FCF vs. Capex**

Source: Company data, Goldman Sachs Global Investment Research

## Financials

**Exhibit 6: Our forecast revisions for Baidu**

| Baidu Group<br>Rmb mn | New<br>2026E | Chg % | New<br>2027E | Chg % | New<br>2028E | Chg % |
|-----------------------|--------------|-------|--------------|-------|--------------|-------|
| Total net revenue     | 125,796      | -1%   | 133,478      | -1%   | 147,978      | 0%    |
| Net profit, non-GAAP  | 12,906       | -18%  | 17,291       | -10%  | 18,891       | -11%  |
| EPADS, non-GAAP (Rmb) | 38           | -19%  | 51           | -13%  | 56           | -15%  |

Source: Goldman Sachs Global Investment Research

**Exhibit 7: Baidu: Summary of annual and quarterly estimates**

| Baidu (Rmb mn)                       | 2022           | 2023           | 2024           | 2025           | 2026E          | 2027E          | 2028E          | 1Q25          | 2Q25          | 3Q25          | 4Q25          | 1Q26          | 2Q26          | 3Q26E         | 4Q26E         |
|--------------------------------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|
| <b>Total net revenue</b>             | <b>123,675</b> | <b>134,598</b> | <b>133,125</b> | <b>129,079</b> | <b>125,796</b> | <b>133,478</b> | <b>147,978</b> | <b>32,452</b> | <b>32,713</b> | <b>31,174</b> | <b>32,740</b> | <b>32,075</b> | <b>31,325</b> | <b>30,048</b> | <b>32,348</b> |
| % yoy                                | -1%            | 9%             | -1%            | -3%            | -3%            | 6%             | 11%            | 3%            | -4%           | -7%           | -4%           | -1%           | -4%           | -4%           | -1%           |
| <b>Baidu Core (General business)</b> | <b>95,431</b>  | <b>103,465</b> | <b>104,712</b> | <b>102,484</b> | <b>100,845</b> | <b>107,692</b> | <b>121,337</b> | <b>25,463</b> | <b>26,251</b> | <b>24,659</b> | <b>26,112</b> | <b>26,001</b> | <b>25,183</b> | <b>23,924</b> | <b>25,805</b> |
| % yoy                                | 0%             | 8%             | 1%             | -2%            | -2%            | 7%             | 13%            | 7%            | -2%           | -7%           | -6%           | 2%            | -4%           | -3%           | -1%           |
| % qoq                                |                |                |                |                |                |                |                | -8%           | 3%            | -6%           | 6%            | 0%            | -3%           | -5%           | 8%            |
| Ads (legacy+AI marketing)            | 69,379         | 74,979         | 72,849         | 62,546         | 49,474         | 41,772         | 37,986         | 15,978        | 16,213        | 15,325        | 15,030        | 12,600        | 13,100        | 12,246        | 11,528        |
| % yoy                                | -6%            | 8%             | -3%            | -14%           | -21%           | -16%           | -9%            | -6%           | -15%          | -18%          | -16%          | -21%          | -19%          | -20%          | -23%          |
| % qoq                                |                |                |                |                |                |                |                | -11%          | 1%            | -5%           | -2%           | -16%          | 4%            | -7%           | -6%           |
| Cloud (AI infra+applications)        |                |                | 24,600         | 30,000         | 42,333         | 56,707         | 73,307         | 7,320         | 7,380         | 6,800         | 8,500         | 11,240        | 9,800         | 9,492         | 11,801        |
| % yoy                                |                |                |                | 22%            | 41%            | 34%            | 29%            |               |               |               |               | 54%           | 33%           | 40%           | 39%           |
| Others (Robotaxi, Xiaodu etc)        | 8,303          | 9,738          | 7,263          | 9,938          | 9,038          | 9,212          | 10,044         | 2,164         | 2,658         | 2,533         | 2,582         | 2,161         | 2,283         | 2,186         | 2,477         |
| % yoy                                | 19%            | 17%            | -25%           | 37%            | -9%            | 2%             | 9%             | 1%            | 11%           | 19%           | 1%            | 0%            | -14%          | -14%          | -4%           |
| <b>IQIYI</b>                         | <b>28,998</b>  | <b>31,873</b>  | <b>29,225</b>  | <b>27,291</b>  | <b>24,951</b>  | <b>25,787</b>  | <b>26,641</b>  | <b>7,186</b>  | <b>6,628</b>  | <b>6,682</b>  | <b>6,794</b>  | <b>6,226</b>  | <b>6,287</b>  | <b>6,125</b>  | <b>6,313</b>  |
| % yoy                                | -5%            | 10%            | -8%            | -7%            | -9%            | 3%             | 3%             | -9%           | -11%          | -8%           | 3%            | -13%          | -5%           | -8%           | -7%           |
| % qoq                                |                |                |                |                |                |                |                | 9%            | -8%           | 1%            | 2%            | -8%           | 1%            | -3%           | 3%            |
| <b>Baidu Gross profit, non-GAAP</b>  | <b>60,149</b>  | <b>70,157</b>  | <b>67,484</b>  | <b>57,032</b>  | <b>48,597</b>  | <b>51,667</b>  | <b>57,277</b>  | <b>15,042</b> | <b>14,476</b> | <b>12,972</b> | <b>14,542</b> | <b>12,568</b> | <b>12,318</b> | <b>11,610</b> | <b>12,101</b> |
| % yoy                                |                | 17%            | -4%            | -15%           | -15%           | 6%             | 11%            | -8%           | -18%          | -25%          | -10%          | -16%          | -15%          | -10%          | -17%          |
| % GP margin, non-GAAP                | 48.6%          | 52.1%          | 50.7%          | 44.2%          | 38.6%          | 38.7%          | 38.7%          | 46.4%         | 44.3%         | 41.6%         | 44.4%         | 39.2%         | 39.3%         | 38.6%         | 37.4%         |
| <b>Baidu total OP, non-GAAP</b>      | <b>23,186</b>  | <b>28,430</b>  | <b>26,233</b>  | <b>14,948</b>  | <b>13,038</b>  | <b>15,397</b>  | <b>17,645</b>  | <b>5,333</b>  | <b>4,445</b>  | <b>2,205</b>  | <b>2,967</b>  | <b>3,807</b>  | <b>3,785</b>  | <b>2,673</b>  | <b>2,774</b>  |
| % yoy                                | 22%            | 23%            | -8%            | -43%           | -13%           | 18%            | 15%            | -20%          | -41%          | -69%          | -41%          | -29%          | -15%          | 21%           | -6%           |
| % OP margin, non-GAAP                | 18.7%          | 21.1%          | 19.7%          | 11.6%          | 10.4%          | 11.5%          | 11.9%          | 16.4%         | 13.6%         | 7.1%          | 9.1%          | 11.9%         | 12.1%         | 8.9%          | 8.6%          |
| <b>Baidu core OP, non-GAAP</b>       | <b>20,947</b>  | <b>24,748</b>  | <b>23,890</b>  | <b>14,317</b>  | <b>13,145</b>  | <b>14,404</b>  | <b>16,517</b>  | <b>4,872</b>  | <b>4,385</b>  | <b>2,224</b>  | <b>2,836</b>  | <b>3,950</b>  | <b>3,817</b>  | <b>2,659</b>  | <b>2,718</b>  |
| % yoy                                | -6%            | 18%            | -3%            | -40%           | -8%            | 10%            | 15%            | -13%          | -37%          | -67%          | -39%          | -19%          | -13%          | 20%           | -4%           |
| % OP margin, non-GAAP                | 21.9%          | 23.9%          | 22.8%          | 14.0%          | 13.0%          | 13.4%          | 13.6%          | 19.1%         | 16.7%         | 9.0%          | 10.9%         | 15.2%         | 15.2%         | 11.1%         | 10.5%         |
| <b>IQIYI core OP, non-GAAP</b>       | <b>2,173</b>   | <b>3,641</b>   | <b>2,362</b>   | <b>639</b>     | <b>(99)</b>    | <b>1,002</b>   | <b>1,137</b>   | <b>459</b>    | <b>59</b>     | <b>(22)</b>   | <b>144</b>    | <b>(149)</b>  | <b>(30)</b>   | <b>14</b>     | <b>67</b>     |
| % OP margin, non-GAAP                | 7.5%           | 11.4%          | 8.1%           | 2.3%           | -0.4%          | 3.9%           | 4.3%           | 6.4%          | 0.9%          | -0.3%         | 2.1%          | -2.4%         | -0.5%         | 0.2%          | 1.1%          |
| <b>Baidu total NP, non-GAAP</b>      | <b>20,680</b>  | <b>28,747</b>  | <b>27,002</b>  | <b>18,941</b>  | <b>12,906</b>  | <b>17,291</b>  | <b>18,891</b>  | <b>6,469</b>  | <b>4,795</b>  | <b>3,770</b>  | <b>3,907</b>  | <b>4,332</b>  | <b>2,573</b>  | <b>2,926</b>  | <b>3,075</b>  |
| % yoy                                | 10%            | 39%            | -6%            | -30%           | -32%           | 34%            | 9%             | -8%           | -35%          | -36%          | -42%          | -33%          | -46%          | -22%          | -21%          |
| % NP margin, non-GAAP                | 16.7%          | 21.4%          | 20.3%          | 14.7%          | 10.3%          | 13.0%          | 12.8%          | 19.9%         | 14.7%         | 12.1%         | 11.9%         | 13.5%         | 8.2%          | 9.7%          | 9.5%          |
| <b>Baidu core NP, non-GAAP</b>       | <b>19,935</b>  | <b>27,418</b>  | <b>26,335</b>  | <b>18,827</b>  | <b>13,699</b>  | <b>16,691</b>  | <b>17,729</b>  | <b>6,330</b>  | <b>4,792</b>  | <b>3,836</b>  | <b>3,869</b>  | <b>4,433</b>  | <b>2,672</b>  | <b>3,117</b>  | <b>3,477</b>  |
| % yoy                                | -6%            | 38%            | -4%            | -29%           | -27%           | 22%            | 6%             | -4%           | -34%          | -32%          | -43%          | -30%          | -44%          | -19%          | -10%          |
| % NP margin, non-GAAP                | 20.9%          | 26.5%          | 25.1%          | 18.4%          | 13.6%          | 15.5%          | 14.6%          | 24.9%         | 18.3%         | 15.6%         | 14.8%         | 17.0%         | 10.6%         | 13.0%         | 13.5%         |
| <b>IQIYI core NP, non-GAAP</b>       | <b>1,284</b>   | <b>2,838</b>   | <b>1,512</b>   | <b>281</b>     | <b>(672)</b>   | <b>722</b>     | <b>1,294</b>   | <b>304</b>    | <b>15</b>     | <b>(148)</b>  | <b>110</b>    | <b>(234)</b>  | <b>(210)</b>  | <b>(111)</b>  | <b>(116)</b>  |
| % NP margin, non-GAAP                | 4.4%           | 8.9%           | 5.2%           | 1.0%           | -2.7%          | 2.8%           | 4.9%           | 4.2%          | 0.2%          | -2.2%         | 1.6%          | -3.8%         | -3.3%         | -1.8%         | -1.8%         |

Source: Company data, Goldman Sachs Global Investment Research

**IQIYI**

Management highlighted that the company is undergoing a strategic evolution centered on two core pillars: **decentralization and an all-in commitment to AI**. The decentralization strategy focuses on transforming iQIYI into a more creator-driven ecosystem, while AI is expected to significantly enhance content creation efficiency. Over the longer term, management believes the combination of AI adoption and decentralization should structurally improve content costs, revenue quality, profitability and cash flow generation.

As a brighter spot in 2Q26, **overseas membership revenue** grew **40% yoy** and remained profitable. Thailand, as one of the relatively mature overseas markets, saw both solid membership revenue and profit yoy growth and profitability improvement in 2Q26. Emerging markets also continue to see strong traction, with membership revenue in Brazil/Mexico growing 215% yoy/150% yoy respectively in 2Q26. Importantly, management emphasized that its overseas strategy is not simply about entering more countries. Instead, expansion decisions are guided by unit economics and operating contribution. The company plans to further scale into additional markets after validating both **revenue quality and profitability**.

**What to do with IQ:** Post results, we lower our 2026-28E revenue estimates by -5% to mainly reflect a weaker-than-expected membership and lower others revenue partially cushioned by a slightly better advertising growth outlook, and cut our 2027-28E net profit estimates by -14%~-19% due to lower margin on operating deleverage. For 2026E, we cut our net profit estimate to Rmb672mn loss (from Rmb50mn profit prior) given lower margin and factoring higher tax expenses in 2Q26. Accordingly, our 12m

target price is revised down to **US\$1.4** (vs. prior US\$1.6) based on an unchanged target multiple of 12x 2027E P/E. Retain **Neutral**.

#### Exhibit 8: IQ: 2Q26 earnings snapshot

| IQ                           | Act    | % yoy | GSe    | Cons   | Act vs. GSe | Act vs. Cons |
|------------------------------|--------|-------|--------|--------|-------------|--------------|
| 2Q26 total revenues (Rmb mn) | 6,287  | -5%   | 6,308  | 6,338  | 0%          | -1%          |
| 2Q26 non-GAAP EPADS (Rmb)    | (0.13) | N.M.  | (0.04) | (0.10) | -223%       | -30%         |

Source: Visible Alpha Consensus Data, Company data, Goldman Sachs Global Investment Research

#### Exhibit 9: IQ: 2Q26 results summary

| iQIYI, Inc.<br>Rmb mn                       | 1Q24    | 2Q24    | 3Q24    | 4Q24    | 1Q25    | 2Q25    | 3Q25    | 4Q25    | 1Q26    | Prior Gse<br>2Q26 | 2Q26E   | Act.<br>vs. Est | QoQ (%)  | YoY (%)  |
|---------------------------------------------|---------|---------|---------|---------|---------|---------|---------|---------|---------|-------------------|---------|-----------------|----------|----------|
| Membership services                         | 4,799   | 4,495   | 4,366   | 4,103   | 4,399   | 4,090   | 4,212   | 4,106   | 4,200   | 4,014             | 4,100   | -2%             | -4%      | -2%      |
| Online advertising services                 | 1,482   | 1,461   | 1,337   | 1,434   | 1,328   | 1,272   | 1,241   | 1,353   | 1,241   | 1,246             | 1,254   | -1%             | 0%       | -2%      |
| Content distribution                        | 928     | 698     | 814     | 407     | 629     | 437     | 644     | 788     | 359     | 682               | 415     | 64%             | 90%      | 56%      |
| Others                                      | 718     | 784     | 729     | 670     | 831     | 829     | 585     | 548     | 427     | 345               | 539     | -36%            | -19%     | -58%     |
| Total revenues                              | 7,927   | 7,439   | 7,246   | 6,613   | 7,186   | 6,628   | 6,682   | 6,794   | 6,226   | 6,287             | 6,308   | 0%              | 1%       | -5%      |
| % yoy growth                                | -5%     | -5%     | -10%    | -14%    | -9%     | -11%    | -8%     | 3%      | -13%    | -5%               | -5%     |                 |          |          |
| Content cost                                | (4,070) | (4,130) | (4,070) | (3,440) | (3,790) | (3,780) | (4,040) | (3,830) | (3,740) | (3,820)           | (3,843) | 1%              | -2%      | -1%      |
| as % of revenue                             | -51.3%  | -55.5%  | -56.2%  | -52.0%  | -52.7%  | -57.0%  | -60.5%  | -56.4%  | -60.1%  | -60.8%            | -60.9%  | 0.3%            | -1.1%    | -6.5%    |
| Gross profit, GAAP                          | 2296    | 1760    | 1596    | 1619    | 1780    | 1335    | 1215    | 1418    | 992     | 1037              | 1062    | -2%             | 5%       | -22%     |
| Gross profit, non-GAAP                      | 2316    | 1783    | 1614    | 1636    | 1797    | 1350    | 1229    | 1430    | 1003    | 1048              | 1074    | -2%             | 4%       | -22%     |
| Sales, G&A cost, GAAP                       | (922)   | (970)   | (908)   | (882)   | (1,026) | (960)   | (925)   | (946)   | (817)   | (744)             | (724)   | -3%             | 9%       | 22%      |
| Research and development, GAAP              | (429)   | (449)   | (449)   | (451)   | (412)   | (422)   | (412)   | (417)   | (404)   | (398)             | (414)   | 4%              | 2%       | 6%       |
| Total operating expense, GAAP               | (1,351) | (1,418) | (1,357) | (1,334) | (1,438) | (1,382) | (1,337) | (1,363) | (1,221) | (1,142)           | (1,138) | 0%              | 6%       | 17%      |
| Operating profit, GAAP                      | 945     | 342     | 239     | 285     | 342     | (46)    | (122)   | 55      | (228)   | (105)             | (76)    | -38%            | 54%      | -127%    |
| Operating profit, non-GAAP                  | 1,086   | 501     | 369     | 406     | 459     | 59      | (22)    | 144     | (149)   | (30)              | 16      | NM              | 80%      | NM       |
| Profit before tax, GAAP                     | 683     | 102     | 247     | (181)   | 227     | (108)   | (207)   | 28      | (256)   | (110)             | (142)   | 23%             | 57%      | -2%      |
| Income tax expense                          | (18)    | (26)    | (11)    | (6)     | (42)    | (27)    | (40)    | (36)    | (37)    | (220)             | 21      | NM              | -491%    | -709%    |
| Net (loss)/income, GAAP                     | 655     | 69      | 229     | (189)   | 182     | (134)   | (249)   | (6)     | (295)   | (288)             | (121)   | -138%           | 2%       | -115%    |
| Net (loss)/income to shareholders, non-GAAP | 844     | 247     | 480     | (59)    | 304     | 15      | (148)   | 110     | (234)   | (210)             | (39)    | -437%           | 11%      | NM       |
| Diluted EPADS, non-GAAP (Rmb)               | 0.87    | 0.25    | 0.50    | (0.06)  | 0.31    | 0.02    | (0.15)  | 0.11    | (0.24)  | (0.13)            | (0.04)  | -223%           | 46%      | NM       |
| Non-GAAP margins                            | 1Q24    | 2Q24    | 3Q24    | 4Q24    | 1Q25    | 2Q25    | 3Q25    | 4Q25    | 1Q26    | 2Q26              | 2Q26E   | Diff (pp)       | QoQ (pp) | YoY (pp) |
| Gross margin                                | 29.2%   | 24.0%   | 22.3%   | 24.7%   | 25.0%   | 20.4%   | 18.4%   | 21.1%   | 16.1%   | 16.7%             | 17.0%   | (0.4)           | 0.5      | (3.7)    |
| Operating margin                            | 13.7%   | 6.7%    | 5.1%    | 6.1%    | 6.4%    | 0.9%    | -0.3%   | 2.1%    | -2.4%   | -0.5%             | 0.3%    | (0.7)           | 1.9      | (1.4)    |
| Net margin                                  | 10.7%   | 3.3%    | 6.6%    | -0.9%   | 4.2%    | 0.2%    | -2.2%   | 1.6%    | -3.8%   | -3.3%             | -0.6%   | (2.7)           | 0.4      | (3.6)    |

Source: Company data, Goldman Sachs Global Investment Research

#### Exhibit 10: IQ: Key changes to GSe

| iQIYI<br>Rmb mn      | New<br>2026E | Diff. | New<br>2027E | Diff. | New<br>2028E | Diff. |
|----------------------|--------------|-------|--------------|-------|--------------|-------|
| Total revenues       | 24,951       | -4.8% | 25,787       | -5.3% | 26,641       | -5.5% |
| Net income, non-GAAP | (672)        | N.M.  | 722          | -14%  | 1,294        | -19%  |
| Net margin, non-GAAP | -2.7%        | (2.9) | 2.8%         | (0.3) | 4.9%         | (0.8) |

Source: Company data, Goldman Sachs Global Investment Research

**Exhibit 11: IQ: financial summary**

| IQIYI, Inc.                          |                |               |               |               |               |               |               |               |              |              |               |              |               |               |               |               |
|--------------------------------------|----------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|--------------|--------------|---------------|--------------|---------------|---------------|---------------|---------------|
| Rmb mn                               | 2021           | 2022          | 2023          | 2024          | 2025          | 2026E         | 2027E         | 2028E         | 1Q25         | 2Q25         | 3Q25          | 4Q25         | 1Q26          | 2Q26          | 3Q26E         | 4Q26E         |
| <b>Membership services</b>           | <b>16,714</b>  | <b>17,711</b> | <b>20,314</b> | <b>17,763</b> | <b>16,807</b> | <b>16,313</b> | <b>16,696</b> | <b>17,217</b> | <b>4,399</b> | <b>4,090</b> | <b>4,212</b>  | <b>4,106</b> | <b>4,200</b>  | <b>4,014</b>  | <b>4,038</b>  | <b>4,061</b>  |
| % yoy growth                         | 1%             | 6%            | 15%           | -13%          | -5%           | -3%           | 2%            | 3%            | -8%          | -9%          | -4%           | 0%           | -5%           | -2%           | -4%           | -1%           |
| <b>Online advertising services</b>   | <b>7,067</b>   | <b>5,332</b>  | <b>6,224</b>  | <b>5,714</b>  | <b>5,193</b>  | <b>5,098</b>  | <b>5,263</b>  | <b>5,486</b>  | <b>1,328</b> | <b>1,272</b> | <b>1,241</b>  | <b>1,353</b> | <b>1,241</b>  | <b>1,246</b>  | <b>1,256</b>  | <b>1,355</b>  |
| % yoy growth                         | 4%             | -25%          | 17%           | -8%           | -9%           | -2%           | 3%            | 4%            | -10%         | -13%         | -7%           | -6%          | -7%           | -2%           | 1%            | 0%            |
| <b>Content distribution</b>          | <b>2,856</b>   | <b>2,472</b>  | <b>2,324</b>  | <b>2,847</b>  | <b>2,497</b>  | <b>2,048</b>  | <b>2,191</b>  | <b>2,235</b>  | <b>629</b>   | <b>437</b>   | <b>644</b>    | <b>788</b>   | <b>359</b>    | <b>682</b>    | <b>451</b>    | <b>557</b>    |
| % yoy growth                         | 7%             | -13%          | -6%           | 23%           | -12%          | -18%          | 7%            | 2%            | -32%         | -37%         | -21%          | 94%          | -43%          | 56%           | -30%          | -29%          |
| <b>Others</b>                        | <b>3,918</b>   | <b>3,483</b>  | <b>3,011</b>  | <b>2,901</b>  | <b>2,793</b>  | <b>1,492</b>  | <b>1,636</b>  | <b>1,704</b>  | <b>831</b>   | <b>829</b>   | <b>585</b>    | <b>548</b>   | <b>427</b>    | <b>345</b>    | <b>380</b>    | <b>340</b>    |
| % yoy growth                         | 5%             | -11%          | -14%          | -4%           | -4%           | -47%          | 10%           | 4%            | 6%           | 6%           | -20%          | -18%         | -49%          | -58%          | -35%          | -38%          |
| <b>Total revenues</b>                | <b>30,554</b>  | <b>28,998</b> | <b>31,873</b> | <b>29,225</b> | <b>27,291</b> | <b>24,951</b> | <b>25,787</b> | <b>26,641</b> | <b>7,186</b> | <b>6,628</b> | <b>6,682</b>  | <b>6,794</b> | <b>6,226</b>  | <b>6,287</b>  | <b>6,125</b>  | <b>6,313</b>  |
| % yoy growth                         | 3%             | -5%           | 10%           | -8%           | -7%           | -9%           | 3%            | 3%            | -9%          | -11%         | -8%           | 3%           | -13%          | -5%           | -8%           | -7%           |
| Cost of revenues, GAAP               | (27,513)       | (28,446)      | (23,102)      | (21,954)      | (21,542)      | (20,488)      | (20,382)      | (20,815)      | (5,406)      | (5,293)      | (5,467)       | (5,376)      | (5,233)       | (5,250)       | (4,963)       | (5,042)       |
| Content cost                         | (20,700)       | (16,500)      | (16,280)      | (15,710)      | (15,440)      | (14,747)      | (14,590)      | (14,904)      | (3,790)      | (3,780)      | (4,040)       | (3,830)      | (3,740)       | (3,820)       | (3,556)       | (3,631)       |
| as % of revenue                      | -67.7%         | -56.9%        | -51.1%        | -53.8%        | -56.6%        | -59.1%        | -56.6%        | -55.9%        | -52.7%       | -57.0%       | -60.5%        | -56.4%       | -60.1%        | -60.8%        | -58.1%        | -57.5%        |
| Gross profit, GAAP                   | 3,041          | 6,678         | 8,770         | 7,272         | 5,749         | 4,463         | 5,405         | 5,826         | 1,780        | 1,335        | 1,215         | 1,418        | 992           | 1,037         | 1,162         | 1,271         |
| <b>Gross profit, non-GAAP</b>        | <b>3,207</b>   | <b>6,794</b>  | <b>8,861</b>  | <b>7,349</b>  | <b>5,806</b>  | <b>4,504</b>  | <b>5,448</b>  | <b>5,867</b>  | <b>1,797</b> | <b>1,350</b> | <b>1,229</b>  | <b>1,430</b> | <b>1,003</b>  | <b>1,048</b>  | <b>1,171</b>  | <b>1,282</b>  |
| Sales, G&A cost, GAAP                | (4,725)        | (3,467)       | (4,014)       | (3,682)       | (3,857)       | (3,266)       | (3,130)       | (3,381)       | (1,026)      | (960)        | (925)         | (946)        | (817)         | (744)         | (842)         | (864)         |
| Research and development, GAAP       | (2,795)        | (1,899)       | (1,767)       | (1,778)       | (1,663)       | (1,595)       | (1,584)       | (1,602)       | (412)        | (422)        | (412)         | (417)        | (404)         | (398)         | (384)         | (409)         |
| Total operating expense, GAAP        | (7,520)        | (5,366)       | (5,781)       | (5,460)       | (5,520)       | (4,862)       | (4,714)       | (4,983)       | (1,438)      | (1,382)      | (1,337)       | (1,363)      | (1,221)       | (1,142)       | (1,226)       | (1,273)       |
| Operating profit, GAAP               | (4,479)        | 1,312         | 2,989         | 1,811         | 229           | (399)         | 691           | 843           | 342          | (46)         | (122)         | 55           | (228)         | (105)         | (64)          | (2)           |
| <b>Operating profit, non-GAAP</b>    | <b>(3,027)</b> | <b>2,173</b>  | <b>3,641</b>  | <b>2,362</b>  | <b>639</b>    | <b>(99)</b>   | <b>1,002</b>  | <b>1,137</b>  | <b>459</b>   | <b>59</b>    | <b>(22)</b>   | <b>144</b>   | <b>(149)</b>  | <b>(30)</b>   | <b>14</b>     | <b>67</b>     |
| Profit before tax, GAAP              | (6,012)        | (34)          | 2,033         | 852           | (60)          | (666)         | 492           | 1,184         | 227          | (108)        | (207)         | 28           | (256)         | (110)         | (155)         | (144)         |
| Net (loss)/income, GAAP              | (6,170)        | (136)         | 1,925         | 764           | (206)         | (966)         | 418           | 1,007         | 182          | (134)        | (249)         | (6)          | (295)         | (288)         | (179)         | (205)         |
| <b>Net (loss)/income, non-GAAP</b>   | <b>(4,488)</b> | <b>1,284</b>  | <b>2,838</b>  | <b>1,512</b>  | <b>281</b>    | <b>(672)</b>  | <b>722</b>    | <b>1,294</b>  | <b>304</b>   | <b>15</b>    | <b>(148)</b>  | <b>110</b>   | <b>(234)</b>  | <b>(210)</b>  | <b>(111)</b>  | <b>(116)</b>  |
| Diluted EPADS, GAAP (Rmb)            | (7.75)         | (0.16)        | 1.98          | 0.79          | (0.21)        | (0.99)        | 0.42          | 1.02          | 0.31         | 0.02         | (0.15)        | 0.11         | (0.24)        | (0.22)        | (0.12)        | (0.12)        |
| <b>Diluted EPADS, non-GAAP (Rmb)</b> | <b>(5.64)</b>  | <b>1.50</b>   | <b>2.91</b>   | <b>1.56</b>   | <b>0.29</b>   | <b>(0.69)</b> | <b>0.73</b>   | <b>1.31</b>   | <b>0.31</b>  | <b>0.02</b>  | <b>(0.15)</b> | <b>0.11</b>  | <b>(0.24)</b> | <b>(0.13)</b> | <b>(0.12)</b> | <b>(0.12)</b> |

| Non-GAAP margins | 2021   | 2022  | 2023  | 2024  | 2025  | 2026E | 2027E | 2028E | 1Q25  | 2Q25  | 3Q25  | 4Q25  | 1Q26  | 2Q26  | 3Q26E | 4Q26E |
|------------------|--------|-------|-------|-------|-------|-------|-------|-------|-------|-------|-------|-------|-------|-------|-------|-------|
| Gross margin     | 10.5%  | 23.4% | 27.8% | 25.1% | 21.3% | 18.1% | 21.1% | 22.0% | 25.0% | 20.4% | 18.4% | 21.1% | 16.1% | 16.7% | 19.1% | 20.3% |
| Operating margin | -9.9%  | 7.5%  | 11.4% | 8.1%  | 2.3%  | -0.4% | 3.9%  | 4.3%  | 6.4%  | 0.9%  | -0.3% | 2.1%  | -2.4% | -0.5% | 0.2%  | 1.1%  |
| Net margin       | -14.7% | 4.4%  | 8.9%  | 5.2%  | 1.0%  | -2.7% | 2.8%  | 4.9%  | 4.2%  | 0.2%  | -2.2% | 1.6%  | -3.8% | -3.3% | -1.8% | -1.8% |

Source: Company data, Goldman Sachs Global Investment Research

**Exhibit 12: IQ: valuation**

|                             | 2026E | 2027E      |
|-----------------------------|-------|------------|
| Net Profit (RMB mn)         | 672   | 722        |
| PE (X)                      | 12    | 12         |
| Equity value (Rmb mn)       | 8,059 | 8,663      |
| FX                          | 6.80  | 6.80       |
| Equity value (US\$ mn)      | 1,185 | 1,274      |
| ADS outstanding (mn)        | 970   | 970        |
| <b>Value per ADS (US\$)</b> |       | <b>1.4</b> |

Source: Company data, Goldman Sachs Global Investment Research

**Price Target Risks and Methodology - iQIYI Inc.**

**Valuation methodology:** We are **Neutral** rated on iQIYI with a 12-month P/E-based target price of **US\$1.4** based on a 12x 2027E P/E multiple.

**Key upside/downside risks:** 1) Softened/Intensified competition/execution risk; 2) Better/Weaker ROI on content cost; 3) Regulatory risks; and 4) Better ability/Inability to retain and attract new advertisers.

**Price Target Risks and Methodology - Baidu Inc.**

We are Not Rated on BIDU/9888.HK.

## Disclosure Appendix

### Reg AC

We, Lincoln Kong, CFA, Ronald Keung, CFA and Luqing Zhou, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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**Growth** is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

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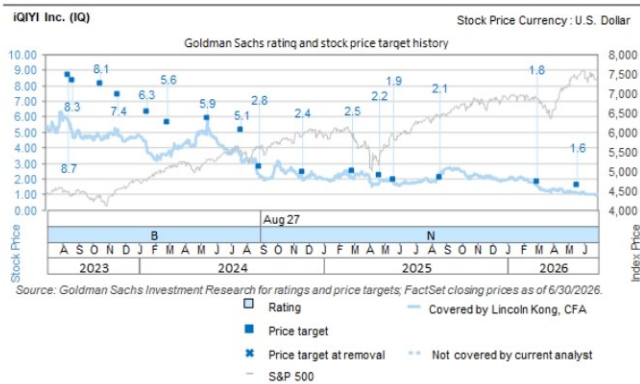
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Goldman Sachs Investment Research global Equity coverage universe

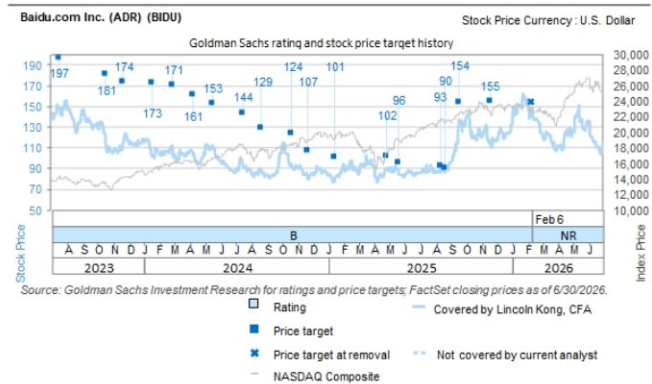
|        | Rating Distribution |      |      |  | Investment Banking Relationships |      |      |
|--------|---------------------|------|------|--|----------------------------------|------|------|
|        | Buy                 | Hold | Sell |  | Buy                              | Hold | Sell |
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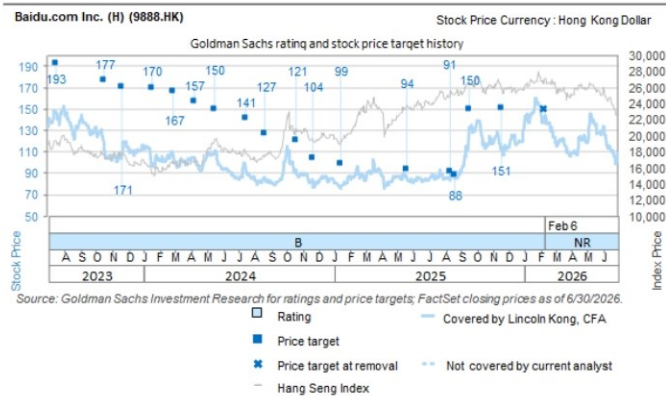
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## Target price history table(s)

### iQIYI Inc. (IQ)

| Date of report | Target price (\$) | Closing price (\$) |
|----------------|-------------------|--------------------|
| 20-May-26      | 1.60              | 1.10               |
| 01-Mar-26      | 1.80              | 1.60               |
| 21-Aug-25      | 2.10              | 2.35               |
| 21-May-25      | 1.90              | 1.71               |
| 23-Apr-25      | 2.20              | 1.87               |
| 27-Feb-25      | 2.50              | 2.17               |
| 21-Nov-24      | 2.40              | 2.02               |

### Baidu.com Inc. (ADR) (BIDU)

| Date of report | Target price (\$) | Closing price (\$) |
|----------------|-------------------|--------------------|
| 18-Nov-25      | 155.00            | 117.14             |
| 18-Sep-25      | 154.00            | 135.25             |
| 21-Aug-25      | 90.00             | 87.61              |
| 11-Aug-25      | 93.00             | 85.99              |
| 21-May-25      | 96.00             | 85.48              |
| 28-Apr-25      | 102.00            | 90.37              |
| 14-Jan-25      | 101.00            | 79.56              |

**IQIYI Inc. (IQ)**

| Date of report | Target price (\$) | Closing price (\$) |
|----------------|-------------------|--------------------|
| 27-Aug-24      | 2.80              | 2.26               |
| 23-Jul-24      | 5.10              | 3.16               |
| 16-May-24      | 5.90              | 5.79               |
| 28-Feb-24      | 5.60              | 3.67               |
| 17-Jan-24      | 6.30              | 4.01               |
| 21-Nov-23      | 7.40              | 4.75               |
| 18-Oct-23      | 8.10              | 4.58               |
| 22-Aug-23      | 8.30              | 4.89               |

**Baidu.com Inc. (ADR) (BIDU)**

| Date of report | Target price (\$) | Closing price (\$) |
|----------------|-------------------|--------------------|
| 21-Nov-24      | 107.00            | 81.63              |
| 22-Oct-24      | 124.00            | 91.98              |
| 22-Aug-24      | 129.00            | 85.79              |
| 16-Jul-24      | 144.00            | 93.73              |
| 16-May-24      | 153.00            | 112.59             |
| 09-Apr-24      | 161.00            | 103.50             |
| 28-Feb-24      | 171.00            | 103.31             |
| 17-Jan-24      | 173.00            | 102.20             |
| 21-Nov-23      | 174.00            | 113.42             |
| 18-Oct-23      | 181.00            | 114.71             |

**Baidu.com Inc. (H) (9888.HK)**

| Date of report | Target price (HK\$) | Closing price (HK\$) |
|----------------|---------------------|----------------------|
| 18-Nov-25      | 151.00              | 111.40               |
| 18-Sep-25      | 150.00              | 132.80               |
| 21-Aug-25      | 88.00               | 85.00                |
| 11-Aug-25      | 91.00               | 85.80                |
| 21-May-25      | 94.00               | 86.10                |
| 14-Jan-25      | 99.00               | 77.55                |
| 21-Nov-24      | 104.00              | 83.85                |
| 22-Oct-24      | 121.00              | 88.35                |
| 22-Aug-24      | 127.00              | 86.45                |
| 16-Jul-24      | 141.00              | 91.15                |
| 16-May-24      | 150.00              | 108.40               |
| 09-Apr-24      | 157.00              | 100.10               |
| 28-Feb-24      | 167.00              | 106.60               |
| 17-Jan-24      | 170.00              | 96.80                |
| 21-Nov-23      | 171.00              | 107.40               |
| 18-Oct-23      | 177.00              | 113.70               |

Price targets shown in table(s) are unadjusted for corporate actions.

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